MANAGING DIRECTOR'S REVIEW

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We believe that a thriving economy is built on equal access to financial opportunities. At LBF, we have taken significant steps to bridge financial gaps by providing crucial financial backing to rural communities, small businesses, and emerging entrepreneurs, facilitating their growth and success.

Sumith Adhihetty
Managing Director

Financial Year 2024/25 was a period of landmark achievement for LB Finance PLC. Despite navigating a dynamic and intensely competitive landscape, marked by significant economic shifts and industry-wide pressures, we delivered outstanding results. Our strategic foresight, operational agility, and the exceptional resilience and unwavering commitment of our dedicated team were key drivers in successfully meeting our performance budget and achieving the highest profit in the Company's history. This record performance not only overcame significant headwinds but also solidifies a robust foundation for sustained future growth.

MANAGING DIRECTOR'S REVIEW - DIGITAL VERSIONS

In English | In Sinhala | In Tamil

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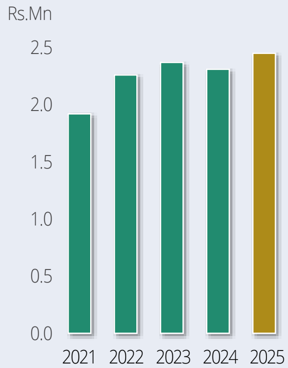
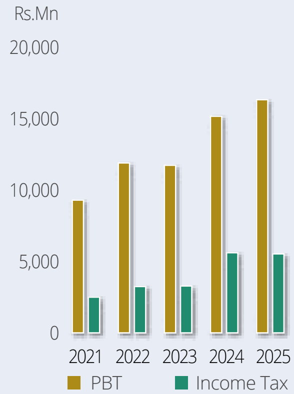
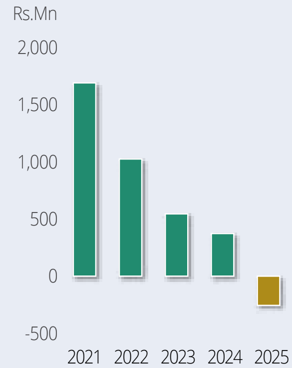
Profit per Employee



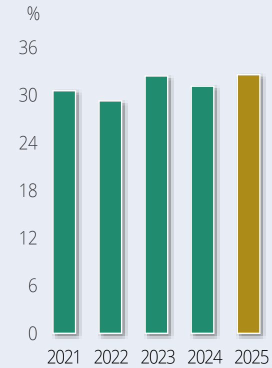
PBT and Income Tax



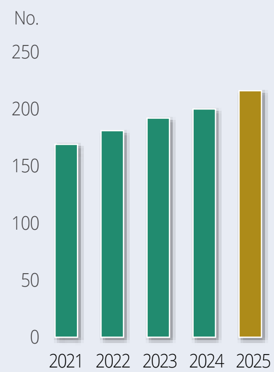
Impairment Charge/ (Reversals)



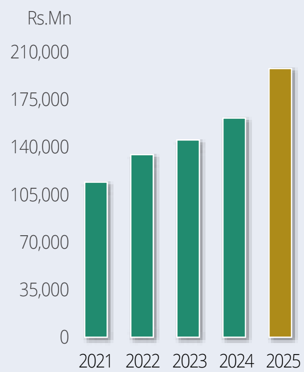
Cost to Income Ratio



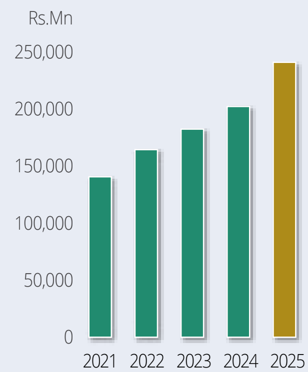
Total Branches



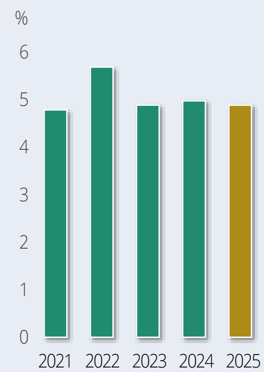
Loans and Receivables



Total Assets



Return on Assets (ROA)



EXCEPTIONAL FINANCIAL PERFORMANCE

Reflecting this outstanding performance and continued positive momentum, our Operating Profit Before Taxes for FY 2024/25 increased by 9.06% YoY, to Rs. 20.51 billion. This strong bottom-line performance was fundamentally driven by robust Pre-Tax Profit growth, resulting from: proactive management of our net interest margin through timely repricing of interest-sensitive assets and liabilities; disciplined control of operating expenses, maintained at optimal levels via effective cost optimisation programmes; and a significantly reduced credit loss provisioning impact, reflecting both stringent quality credit granting and robust recovery procedures.

Our Net Interest Income grew by 3.19% YoY to Rs. 25.12 billion in FY 2024/25. While Interest Income decreased by 8.56% to Rs. 41.81 billion, primarily driven by the market interest rate cycle leading to asset repricing and strategic portfolio adjustments. Our effective management of funding costs resulted in a substantial 21.95% reduction in Interest Expense, from Rs. 21.37 billion to Rs. 16.68 billion.

STRENGTHENED ASSET QUALITY AND BALANCE SHEET

A significant factor in our exceptional results was the substantial improvement in asset quality. We successfully transitioned from an impairment charge of Rs. 373.23 million in FY 2023/24 to a net impairment reversal of Rs. 256.23 million in FY 2024/25. This pivotal shift, representing an improvement of over 168%, is a direct consequence of our proactive strategy to enhance asset quality and our vigilant management of credit risk throughout the year. Furthermore, diligent credit monitoring, coupled with efficient recovery procedures, significantly lowered our level of non-performing advances (NPA). This focus is reflected in our NPL ratios: a low gross NPL ratio of 2.25% and, notably, a negative net NPL ratio of -1.22%.

Our balance sheet reflected this strong performance and strategic focus on growth. Total assets reached Rs. 240.89 billion as of 31 March 2025, compared to Rs. 202.17

billion as of 31 March 2024, representing a YoY increase of 19.15%. This expansion underscores the growth of our operations. Crucially, interest-earning assets constituted a substantial 93.35% of total assets (a slight increase from 92.25%), highlighting our strategic focus on deploying capital effectively into income-generating activities. Within this, Loans and Receivables recorded exceptional growth, increasing by 22.61% YoY, from Rs. 161.29 billion to Rs. 197.76 billion, driving asset expansion and future income potential.

STRATEGIC RESPONSE AND OPERATIONAL EXCELLENCE

Navigating the competitive and evolving landscape required a proactive and disciplined approach. We prioritised staff recruitment and training, dedicating the highest budget and focus to these areas, which helped us recover from earlier staffing challenges and significantly benefited us in the latter half of the year. We strategically leveraged our technology, extensive network, and human resources to maintain our competitive edge. Our resilience is reliant on a sound credit policy coupled with a sound pricing mechanism; these two factors are central to our entire business model, and healthy cash flows subsequently improve our funding mix. Having successfully navigated multiple crises since 2019, the foundation we have laid out is strong and proven.

We continued to invest heavily in IT development and digitalisation. Our IT department now comprises approximately 5% of our total staff, reflecting this significant investment. We are proud of the LB CIM app, recognised as the most popular payment app among banks and financial institutions, at the Technnovation awards 2024. We are well-set with our network, people, reach, and technology to seize future opportunities, including potential growth stemming from the relaxation of vehicle import restrictions, which could significantly grow our main business line. We continuously studied competitors and targeted segments strategically.

HUMAN CAPITAL DEVELOPMENT

Our people are our most valuable asset and the engine of our success. We are deeply committed to fostering a culture of non-discrimination across race, religion, and gender, ensuring performance is based solely on merit. Moreover, we promote and develop female staff, evidenced by female branch managers and a dedicated female credit team. We have intentionally created new opportunities for female staff, enabling them to earn more and engage directly with customers in the field. Furthermore, we maintain a robust internal career progression path, giving preference to internal staff for leadership roles and transfers, ensuring that talent can ascend the ladder based on merit. Good performance is rewarded quarterly, with a significant proportion of rewarded staff consistently being female, demonstrating their strong contribution. Currently, females constitute 47% of our total staff. We remain committed to upholding our culture and social values across the network.

COMMUNITY AND SOCIAL IMPACT

We believe that a thriving economy is built on equal access to financial opportunities. At LBF, we have taken significant steps to bridge financial gaps by providing crucial financial backing to rural communities, small businesses, and emerging entrepreneurs, facilitating their growth and success. Our commitment is to reach every Sri Lankan with essential financial services. In 2024/25, we demonstrated this commitment by launching 10 new branches, including 3 strategically placed in North and East areas, extending affordable and reliable access to those population. Recognising the vital link between community well-being and our long-term success, we focused on uplifting marginalised areas, with a specific emphasis on rural communities. Extending beyond financial inclusion, our community development efforts support initiatives in key areas including child health and well-being, education, and entrepreneurship empowerment. By championing youth and women empowerment, literacy, and skills development, we are paving the way for a more sustainable and inclusive future for all.

GOVERNANCE AND COMPLIANCE

We continue to uphold the highest standards of corporate governance and compliance, recognising them as fundamental to long-term sustainability and stakeholder trust. We continuously strengthen our corporate governance and risk management frameworks, upholding high standards of transparency and integrity. As the highest taxpayer in the NBFI sector, we are proud of our significant contribution to the national economy. Our tax liability reached a substantial Rs. 12.65 billion in 2024/25, demonstrating our commitment to fiscal responsibility. Our proactive adoption of industry best practices and voluntary compliance with standards beyond regulatory requirements underscore our dedication to ethical and responsible operations. Moreover, we nurture a resilient and reliable business partner network through rigorous supplier assessment, clear procurement guidelines, and continuous engagement, building transparent, long-term relationships aligned with our governance and sustainability standards. Ongoing monitoring and collaboration ensure early identification and prompt mitigation of emerging risks, safeguarding operational continuity and mutual trust.

ENVIRONMENTAL STEWARDSHIP AND SUSTAINABILITY

Sustainability is a dynamic, driving force an organisation-wide commitment that transcends mere compliance or reporting; it is intrinsically woven into how we operate, innovate, and grow. This year, we have intensified our focus on embedding sustainable outcomes throughout every level of the business from pioneering responsible financial solutions and driving digital innovation to fostering employee development and deepening community engagement. These achievements are a testament to robust collaboration across all departments and a shared conviction that sustainability is fundamental to our long-term success and resilience. To drive sustainability, we have established a specialised sustainability unit to strategically oversee our comprehensive agenda, formed a 'Green Team' to champion initiatives, and reinforced our commitment through dedicated Board and Management-level sustainability committees. Moreover, we have clearly defined sustainability metrics and measurable targets, including a net-zero emissions target for 2050, aligning with national climate goals, with an interim target of a 5% emissions reduction by 2030. We also conducted targeted training sessions for Board members on critical sustainability topics. We are proactively committed to providing transparent and decision-useful sustainability information to all our stakeholders, embracing, and adapting to the requirements of IFRS S1 and S2, strategically aligning with our broader ESG objectives. The relevant disclosures can be found in the dedicated section of this report.

RECOGNITIONS AND AWARDS

Our commitment to excellence, innovation, and transparency continues to be recognised both locally and internationally, affirming our role as a leader in Sri Lanka's financial services sector. In the past year, LB Finance was honoured with several prestigious accolades that underscore our dedication to digital transformation, corporate governance, and integrated reporting. We were proud recipients of three Merit Awards at the National ICT Awards (NBQSA 2024) for our in-house innovations: the Automated Gold Loan Higher Advance Granting system, the Eclipse RMV Solution, and the Eclipse Deposit Management Solution. Our resilience in technology was further acknowledged with a Merit Award at the Digital Trust Awards 2024 as the Technology Resilient Company of the Year in the Financial Sector.

In recognition of our transparency and reporting excellence, we secured the Joint Bronze Award at the SAFA Best Presented Annual Report Awards and were also celebrated at the CMA Excellence in Integrated Reporting Awards 2024, winning the Best Integrated Report in the Finance & Leasing Sector and being listed among the Five Excellent Integrated Reports. Furthermore, we clinched Gold at the TAGS Awards 2024 in NBFI sector, and at the LankaPay Technnovation Awards 2025, our digital initiatives were honoured with Gold for the Most Popular Digital Payment Product in our category. Reinforcing our reputation in the industry, LB Finance was named the Sector Winner – Finance & Leasing Category in the LMD Most Respected Entities in Sri Lanka 2024. These accolades reflect our unwavering pursuit of excellence and our ongoing efforts to lead through innovation and integrity.

FUTURE OUTLOOK

Looking ahead, we are poised to build upon the strong momentum of this year. Our strategic direction is clear: to solidify our position as a technology-driven financial service provider, leveraging Fintech and AI to enhance every facet of our operations and elevate customer experience. While interest income will remain a core revenue driver, our operational framework will become increasingly tech-centric. We are targeting significant growth in key areas, including expanding our Micro-finance/Small Business Loan portfolio and developing new verticals and products tailored for individual small business owners. We will also continue to develop Alternate Finance Solutions after restrengthening the relevant unit, targeting a significant growth. Regional expansion into untapped areas and products remains a key objective. Furthermore, we will continue integrating Sustainability/ESG initiatives deeper into our operations. We are ready to seize the opportunities presented by a recovering economy and evolving market needs, confident in our established network, skilled people, vast reach, and advanced technological capabilities.

APPRECIATION

This year's remarkable success is a collective achievement, made possible by the dedication of many. My sincere appreciation goes to the Chairman and the Board of Directors for their invaluable foresight and visionary leadership, especially throughout this challenging yet rewarding period. I extend my heartfelt gratitude to our senior management team and every single member of our dedicated staff for their tireless efforts, unwavering commitment, and loyalty. Their hard work on the ground, day in and day out, directly translated into these exceptional results. Finally, my deepest appreciation is extended to our valued customers, shareholders, and all stakeholders. Your continued trust, confidence, and partnership in LB Finance PLC are our greatest motivators and the fundamental force that drives us forward.

CONCLUSION

The past year has demonstrated our exceptional ability to perform strongly even in challenging conditions. We have delivered record profits, significantly improved asset quality, invested in technology and our people, and advanced our strategic goals, all while maintaining our core values and commitment to stakeholders and community. As we look to the future, we are energised by the opportunities ahead and confident in our strategy, our team, and our ability to continue creating value and contributing to Sri Lanka's economic progress. We are not just adapting to change; we are actively shaping it, building a stronger, more sustainable, and technologically advanced financial institution for years to come.

Sumith Adhihetty
Managing Director

30 May 2025

LBF BUSINESS MODEL

For long-term sustainability, LBF business model magnets from the six capitals and Scorecard delivers us with the framework against which we reflect how we transform, increase or decrease capitals in generating value creation outputs.

The diagram illustrates each of our core activities and how they translate into products and services to meet the needs of our stakeholders.